

In the below table, I have specified an analysis for one of the core offerings “**Extract key terms from a contract**” only in reality you need this for critical components/sub-agents of your agentic workflow. To be evaluated in detail.

Component : “Extract key terms from a contract” only		
Check	Why do this	Results
Is ML necessary?	As discussed in the earlier lesson on rule-based systems, considering the cost-effectiveness and ease of implementation, determine whether ML is a better approach. Further, this cross functional team first questions so having this figured out is important.	PASS Rule-based systems won't be a good solution because each contract is different and rule-based systems will not be able to extract the key terms from contracts with high precision. ML can be a good solution given the contract and any of its changes as be fed into a model that uses natural language processing.
Do you have data to train?	ML algorithms rely heavily on data, and without adequate data, the problem cannot be solved, regardless of its urgency or importance.	PASS Contracts can be obtained from various sources, such as legal websites and public databases (EDGAR), and can be used to augment in house datasets. Additionally, ML can be used to generate different kinds of contracts to address limitations in the public dataset.
Can it be solved by ML/AI?	Assess if ML can effectively address contract complexity, considering its statistical nature and the hype in the ML/AI market.	AT RISK Sample contracts analyzed using ChatGPT and existing NLP services like AWS Textract showed limited out-of-box compatibility for complex cases (e.g. Financial contracts with referrals to various parts of the same contract or other contracts). However, models can be retrained to improve compatibility, and feedback from colleagues in the research community suggests that it may be suitable for consumer contracts. It's important to set expectations and consider limitations, such as the maximum of 50 pages (25,000 words) for the largest ChatGPT-5 model, and opt for simple consumer contracts or complex contracts up to 20 pages is ideal.

Component : “Extract key terms from a contract” only

Can it meet the customer accuracy requirements?	This is needed as we need to decide as if we can replace the function completely or will always need human oversight. Knowing the answer to these will help you to ensure accuracy when using ML models for legal documents like contracts, given their probabilistic nature.	AT RISK Assessing the accuracy requirements of contracts to meet or beat lawyer-level expertise suggests that ML-based tools can generate accurate responses in the majority of the cases; however, in many cases, it may require human review. To address this challenge, one solution can be that for the free tier, you offer proper disclaimers. And for paid packages, you add a human (lawyer) in the user flow to ensure that the AI-generated replies are vetted by an expert. This also means narrowing focus on verticals like real estate, construction will be needed.
Can it scale?	In AI it's easy to build something that can work for 100 customers but to build something that can serve millions of customers with minimum customization is hard. Hence this check is needed.	PASS Using researched models GPT5 has shown that LLM's can handle complexity in language understanding and provide quality replies. Further, we have RLHF and fine tuning to improve quality to scale this solution.
How fast can you get feedback?	ML models must improve with time and require feedback to compare accurate results on real data.	PASS For user-uploaded contracts, an interface can be provided to measure the quality of a reply with a thumbs-up or thumbs-down system. Additionally, subsequent edits (when we extract wrong values) by the user will provide feedback to the model feedback loop.
What are the laws?	AI act in EU and US AI guidelines restrict use of AI in fields like human surveillance. Here, we check what laws, compliance and other regulatory requirements apply to our product. This will allow you to set up correct timelines and cost expectations for the team.	AT RISK Checking CCPA and GDPR requirements to ensure compliance, including not storing contract data and removing personal information, is recommended. Additionally, verifying that AI services comply with legal consortiums (differ from county to county) . However, a clear agreement stating that the solution is not legal advice and that user discretion is needed may still pose a challenge to consumer adoption.

Component : “Extract key terms from a contract” only		
What about bias?	This is needed as contracts are not created equal. While feature extraction may work for some contracts, we need to check whether we can get the same high quality results across all contract types is important.	AT RISK The focus on objective contract documents means that ML/AI accuracy is significantly important. However, model biases due to training data selection and confirmation bias may pose challenges for new contract types. For example, Model may extract liability from well structured MSA contract but can fail badly on ad-hoc shipping contract.
How transparent/explainable can you be?	As a contract is a high value document we need to identify. Extracting a value is time saving for our customers only if a solution can explain where you got this value from in contract (“citations”) and how you reasoned through to find this value.	AT RISK Models are bad at citations out of box, further model reasoning and planning capability are just getting started to be better in 2025. Hence marking this as Risks.
How easy is it to judge good vs bad response or “judge” ?	Before you can take your solution to production you will need to validate that it works accurately.	At RISK We do have a lot of contracts but we do not have a lot of datasets with labelled data where we have extracted the values from the contract.

Sample analysis summary, across all the components

Once we are done with component level risk we can identify all risks in your AI agents workflow.

Component	Risk	Comment
E-mail integration	low	We have already seen existing tools like Microsoft power automate that can help here.
Convert contract to text	low	PDF to text conversion is a known AI service and before signing users use docs format where conversion to .txt is a known path.
Checking contract type	medium	As this is a simple call and the type of contract that we will support may not be in the 1000's. One risk here is that it may work well for top

		contract types like NDA but may struggle to identify large tail contract types “laundry supplier contract”.
Create rule/playbook	High	Creating a playbook that specifies what is correct and what needs to be checked with ideal values is a non-trivial job for lawyers with a law degree. Hence, Marking this high.
Extract key terms from contract	High	Contracts have complex language, not standard format, multiple mention of a single term hence its not going for AI to extract the value of key terms like “liability coverage” , “payments terms” etc. Further, accuracy requirements are high here as this relates directly to customer trust.
Find risk based on playbook	Medium	As we are assuming from the user or AI we will get playbooks/rules that we can use to compare. The risks here are medium to high.

Above gives you an idea on how you can find the risks in each component of your AI agent workflow.